

Esso Petroleum Company, Limited
(Reg. No. 26538)

DIRECTORS

Mr A L Condray (Chairman)
Mr S B L Penrose (Executive Director Finance)
Mr S C Spancake (Executive Director Finance)
Mr M Giblin (Executive Director Finance)
Mr S C Polkey (Executive Director Fuels Marketing)
Mr A M Todd (Executive Director Fuels Marketing)
Mr D Carr (Executive Director Logistics & Refining)

- Resigned 31 January 2001
- Appointed 1 February 2001, Resigned 16 August 2001
- Appointed 16 August 2001
- Resigned 20 August 2001
- Appointed 20 August 2001

SECRETARY

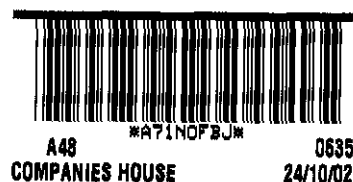
Mr J N Boydell

REGISTERED OFFICE

ExxonMobil House
Ermy Way
Leatherhead
Surrey KT22 8UX

AUDITORS

PricewaterhouseCoopers
1 Embankment Place
London WC2N 6RH



REPORT OF THE DIRECTORS

The Directors present their annual report and the audited accounts for the year ended 31 December 2001.

DIRECTORS

The Directors who held office during the year and to the date of this Report are listed on page 1. All the Directors retire at the Annual General Meeting and are eligible for re-election.

DIRECTORS' INTERESTS

During the year and in the period to the date of this report none of the Directors had any interests in shares of any company of the Group such as would be required to be disclosed in accordance with the provisions of Schedule 7 of the Companies Act 1985.

REVIEW OF THE BUSINESS

The principal activities of the Company are the refining, distribution and marketing of petroleum products in the United Kingdom. The principal subsidiaries of the Company at 31 December 2001 are listed in note 11 to the accounts.

Although the year 2001 was a period of economic growth overall demand for petroleum products fell slightly in the UK. The continued pressure on pump prices and refining margins due to the intensely competitive market place resulted in a fall in profits. In addition, results were affected by the restructuring of some parts of the business.

The Company continued to meet the changing and wide ranging demands of its customers, whilst operating to the highest standards of operational integrity.

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom.

RESULTS AND DIVIDENDS

Net loss for the year was £174.1 million (2000: £41.4 million profit) and £174.1 million was transferred from reserves (2000: £41.4 million was transferred to reserves).

No dividends were paid during the year.

DONATIONS

During 2001 the Company made total donations and other support to the community of £995,761 (2000: £794,196). Of this, charitable donations amounted to £227,758 (2000: £191,856). There were no political donations.

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate holding company, Exxon Mobil Corporation. This includes research into automotive and aviation fuels and engine lubricants, and a comprehensive technical support service, covering crude oils, industrial fuels and lubricants, bitumens and greases. Research and guidance on environmental matters is also provided.

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community. Further, it is the Group's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist.

REPORT OF THE DIRECTORS

HEALTH AND SAFETY

The Company's policies to conduct its business in a manner that protects the safety of the employees, others involved in its operations, customers and the public. The Company will strive to prevent all accidents, injuries and occupational illnesses through the active participation of every employee. The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities.

POLICY ON THE PAYMENT OF CREDITORS

The Company has registered its support for, and has adopted, the CBI Prompt Payment Code. A copy of the CBI Code can be obtained from the CBI, Centre Point, 103 New Oxford Street, London WC1A 1DU.

It is the Company's policy to agree the terms of payment with all of its suppliers for each transaction, to ensure that these suppliers are made aware of the terms of the payment, and to abide by the terms of the payment.

Trade creditors at 31 December 2001 represented 15 days (2000: 15 days) of aggregate purchases during the year. This represents a standardised measure, as required by Schedule 7 of the Companies Act 1985, and is calculated by dividing year end trade creditors by aggregate annual purchases from trade creditors. However the Company believes that the standardised measure is not meaningful and may be misleading.

EMPLOYMENT POLICY

The Company is an equal opportunity employer and complies with all relevant legislation. It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities.

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion exist for disabled persons having regard to their particular circumstances.

EMPLOYEE INVOLVEMENT

The Company has established over many years a comprehensive program of employee communication and consultation. The Directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive. It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives.

AUDITORS

The auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office, and a resolution concerning their reappointment will be proposed at the Annual General Meeting.

REPORT OF THE DIRECTORS

STATEMENT OF DIRECTORS' RESPONSIBILITIES

Company law requires the Directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

The Directors are required to prepare financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The Directors confirm that suitable accounting policies have been used and applied consistently. They also confirm that reasonable and prudent judgements and estimates have been made in preparing the financial statements for the year ended 31 December 2001 and that applicable Accounting Standards have been followed.

The Directors are responsible for keeping proper accounting records that disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 1985. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

By Order of the Board,



Secretary J N Boydell

2002

26th April 2002

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF ESSO PETROLEUM COMPANY, LIMITED

We have audited the financial statements which comprise the profit and loss account, the balance sheet and the related notes.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The Directors' responsibilities for preparing the Annual Report and the financial statements in accordance with applicable United Kingdom law and accounting standards are set out in the statement of Directors' responsibilities.

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and United Kingdom Auditing Standards issued by the Auditing Practices Board.

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985. We also report to you if, in our opinion, the Directors' report is not consistent with the financial statements, if the Company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding Directors' remuneration and transactions is not disclosed.

We read the other information contained in the annual report and consider the implications for our report if we become aware of any apparent misstatements or material inconsistencies with the financial statements. The other information comprises only the Directors' report.

BASIS OF AUDIT OPINION

We conducted our audit in accordance with auditing standards issued by the Auditing Practices Board. An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements. It also includes an assessment of the significant estimates and judgements made by the Directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the Company's circumstances, consistently applied and adequately disclosed.

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error. In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements.

OPINION

In our opinion the financial statements give a true and fair view of the state of affairs of the Company at 31 December 2001 and of the loss for the year then ended and have been properly prepared in accordance with the Companies Act 1985.

PricewaterhouseCoopers

PricewaterhouseCoopers
Chartered Accountants and Registered Auditors
1 Embankment Place
London WC2N 6RH

26 April 2002

Esso Petroleum Company, Limited

PROFIT AND LOSS ACCOUNT

for the year ended 31 December 2001

	Note	2001 £m	2000 £m
Turnover			
- Continuing operations		9,242.2	9,137.1
Excise duties and VAT		(5,617.0)	(5,021.8)
Net turnover	2	3,625.2	4,115.3
Cost of sales		(3,365.6)	(3,642.0)
Gross profit		259.6	473.3
Distribution costs		(307.6)	(298.2)
Administrative expenses		(87.9)	(52.3)
OPERATING (LOSS)/PROFIT			
- Continuing operations		(135.9)	122.8
Income from shares in group undertakings		6.4	5.8
Income from fixed asset investments		0.7	0.3
Interest receivable and similar income	6	14.9	23.2
Interest payable and similar charges	7	(60.4)	(68.9)
(LOSS)/PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION	3	(174.3)	83.2
Taxation on (loss)/profit on ordinary activities	8	0.2	(41.8)
(LOSS)/PROFIT FOR THE FINANCIAL YEAR		(174.1)	41.4
AMOUNTS (RELEASED FROM)/TRANSFERRED TO RESERVES	19	(174.1)	41.4

The notes on pages 8 to 18 form part of the financial statements.

There is no material difference between the reported (loss)/profit on ordinary activities before taxation and the historical cost (loss)/profit on ordinary activities before taxation for the Company.

The company has no recognised gains and losses other than the (loss)/profit included above and therefore no separate statement of total recognised gains and losses has been presented.

Esso Petroleum Company, Limited

BALANCE SHEET

as at 31 December 2001

	Note	2001 £m	2000 £m
FIXED ASSETS			
Intangible assets	9	7.8	8.8
Tangible assets	10	1,337.2	1,335.1
Investments	11	23.2	26.1
TOTAL FIXED ASSETS		1,368.2	1,370.0
CURRENT ASSETS			
Stocks	12	323.9	384.7
Debtors falling due within one year	13	693.2	1,022.4
Debtors falling due after more than one year	13	123.3	127.7
Cash at bank and in hand		7.3	37.3
TOTAL CURRENT ASSETS		1,147.7	1,572.1
CREDITORS: AMOUNTS FALLING DUE WITHIN ONE YEAR	14	(1,168.9)	(1,417.7)
NET CURRENT ASSETS		(21.2)	154.4
TOTAL ASSETS LESS CURRENT LIABILITIES		1,347.0	1,524.4
CREDITORS: AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR	14	(739.9)	(743.5)
PROVISIONS FOR LIABILITIES AND CHARGES	16	(7.6)	(7.3)
NET ASSETS		599.5	773.6
CAPITAL AND RESERVES			
Called up share capital	17	228.4	228.4
Revaluation reserve	18	186.0	186.0
Capital reserve	18	3.3	3.3
Profit and loss account	18	181.8	355.9
TOTAL SHAREHOLDER'S FUNDS	19	599.5	773.6

The notes on pages 8 to 18 form part of the financial statements.

These accounts were approved by the Board
on 26 April 2002

Director

Michael Giblin

M.S. GIBLIN

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001

1 ACCOUNTING POLICIES

These financial statements have been prepared in accordance with the Companies Act 1985 and applicable Accounting Standards in the United Kingdom and are based upon the historical cost convention, except where noted below with regard to fixed assets.

CONSOLIDATED ACCOUNTS

The Company is a wholly-owned subsidiary of, and is included in the consolidated financial statements of Esso UK Limited (formerly Esso UK Plc), which is incorporated in England and Wales. For the year ended 31 December 2001 the company has taken advantage of the exemption from preparing group accounts under FRS 2, Accounting for Subsidiary Undertakings. In the previous year this exemption was not taken.

CASHFLOW STATEMENT

The Company is a wholly-owned subsidiary of Esso UK Limited (formerly Esso UK Plc) and is included in the consolidated financial statements of Exxon Mobil Corporation, which are publicly available. Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS1 (revised 1996).

TURNOVER

Turnover is net of excise duty and VAT and is derived from the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and is recognised on transfer of legal title.

FOREIGN CURRENCIES

Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end. Foreign currency transactions are translated at the rate ruling at the date of the transaction. Foreign currency translation differences are included in the appropriate profit and loss account categories.

FIXED ASSETS

Fixed assets are stated at cost except in the case of retail site land which is revalued periodically. Retail site land assets are revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors with an internal review of the valuation made 3 years later. An annual review is undertaken where there is evidence of a significant change in the revaluation.

Assets held under leases which transfer substantially all the benefits and risks of ownership to the lessee (finance leases) are included at a cost equivalent to the net present value of the lease payments. Purchased goodwill and computer software are shown as intangible assets. All other fixed assets are considered to be tangible.

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings.

In the prior year software development costs were reclassified as tangible fixed assets in accordance with FRS10 "Goodwill and Intangible Assets".

Depreciation and amortisation are charged to reduce the cost of each group of assets to its residual value over its expected useful life.

All assets are depreciated or amortised by equal annual installments as follows:

Buildings: 3.3% to 4% per annum

Plant and Equipment: 3.3% to 20% per annum

Leasehold land: 0.5% to 6.66% per annum

Assets under construction and freehold land are not depreciated.

GOODWILL

Goodwill arising on acquisitions and recorded in the balance sheet is amortised through the profit and loss account. The Group amortises such purchased goodwill by equal annual installments over the purchased goodwill's expected useful life, using rates between 5 and 10 per cent per annum.

STOCKS

Stocks are stated at the lower of cost and net realisable value. Cost is calculated using the first-in-first-out method, including an appropriate proportion of overheads.

DEFERRED TAXATION

Provision for deferred taxation is made in respect of timing differences using the liability method only to the extent that taxation is expected to be payable in the foreseeable future.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001 (continued)

1 ACCOUNTING POLICIES (continued)**OPERATING LEASES**

Operating lease payments are charged to the profit and loss account in the period to which they relate.

PENSION COSTS

The company operates a defined benefit pension plan, the assets of which are held in a separate trustee administered fund. The pension cost is charged to the profit and loss account so as to spread the cost over the service lives of the employees. Experience variations are spread over the average remaining service lives of current employees. The pension cost is assessed in accordance with the advice of qualified actuaries.

RESEARCH AND DEVELOPMENT EXPENDITURE

Research and development expenditure is charged to income as incurred.

2 SEGMENTAL ANALYSIS

The company's activities consist solely of the processing and sale of crude oil, natural gas, petroleum products and related goods and services, and is recognised on transfer of legal title.

	2001	2000
NET TURNOVER BY DESTINATION	£m	£m
United Kingdom	3,224.8	3,348.0
Europe	353.9	674.1
Rest of the World	46.5	93.2
TOTAL	3,625.2	4,115.3

The Company's turnover and (loss)/ profit before tax is all related to the oil and gas business and is all derived in the United Kingdom.

3 (LOSS)/ PROFIT ON ORDINARY ACTIVITIES

BEFORE TAXATION	2001	2000
	£m	£m
This is stated after charging the following amounts:		
Auditors' remuneration - audit fees	0.2	0.2
Operating leases - plant & machinery	0.0	1.7
- other	19.1	7.7
Depreciation & amortisation - owned assets	77.9	76.3
- assets held under finance leases	0.0	1.4
Research and development	8.6	6.8
Wages and salaries	144.0	119.1
Social security costs	12.0	10.9
Other pension costs (see note 23)	29.1	16.8

4 DIRECTORS' EMOLUMENTS

	2001	2000
DIRECTORS EMOLUMENTS - AGGREGATE	£000	£000
Pre-tax emoluments, excluding pension contributions	676	621
Company pension contributions to money purchase schemes	6	7
Amounts (excluding shares) receivable under long term incentive schemes	83	102

2 Directors (2000: 5), including the highest paid Director, exercised share options in the year and 5 Directors (2000: 4), including the highest paid Director, became entitled to receive shares under long term incentive schemes.

Retirement benefits are accruing to 3 Directors (2000: 5) under a defined benefit scheme, and 4 Directors (2000:0) under a money purchase scheme.

	2001	2000
DIRECTORS EMOLUMENTS - HIGHEST PAID DIRECTOR	£000	£000
Pre-tax emoluments, excluding pension contributions	165	190
Company pension contributions to money purchase schemes	0	5
Defined benefit pension scheme: accrued pension at year end	81	37
Amounts (excluding shares) receivable under long term incentive schemes	24	24

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001 (continued)

5 EMPLOYEES

The average number of persons employed during the year was:

	2001	2000
Marketing, Refining and Transportation	2,452	2,418
Assigned to Upstream	604	534
TOTAL	3,056	2,952

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2001	2000
	£m	£m
Amounts receivable from other ExxonMobil group undertakings	13.7	22.1
Other	1.2	1.1
TOTAL	14.9	23.2

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2001	2000
	£m	£m
Amounts payable to other ExxonMobil group undertakings	60.0	68.2
Interest payable on bank and other borrowings:		
- wholly repayable within five years	0.4	0.5
Interest payable on finance leases	0.0	0.2
TOTAL	60.4	68.9

8 TAXATION ON (LOSS)/PROFIT ON ORDINARY ACTIVITIES

	2001	2000
	£m	£m
UK Corporation Tax - current year	0.0	40.1
- prior years	(0.2)	1.7
- deferred	0.0	0.0
TOTAL CHARGE	(0.2)	41.8

Corporation tax has been calculated at 30% on the taxable (loss)/profit for the year (2000: 30%) and will be subject to group relief.

If a full deferred tax provision had been made, the total tax 2001 would have been £10.5 million credit (2000: £32.1 million charge) compared with £0.2 million credit above (2000: £41.8 million charge).

NOTES TO THE ACCOUNTS
for the year ended 31 December 2001 (continued)

9 INTANGIBLE ASSETS

	Goodwill	Other	Total
	£m	£m	£m
COST			
Balance at 1 January 2001	9.6	6.0	15.6
Additions	0.0	0.0	0.0
Disposals	0.0	0.0	0.0
BALANCE AT 31 DECEMBER 2001	9.6	6.0	15.6
DEPRECIATION			
Balance at 1 January 2001	2.0	4.8	6.8
Charge for year	0.6	0.4	1.0
Disposals	0.0	0.0	0.0
BALANCE AT 31 DECEMBER 2001	2.6	5.2	7.8
NET BOOK VALUE AT 31 DECEMBER 2001	7.0	0.8	7.8
NET BOOK VALUE AT 31 DECEMBER 2000	7.6	1.2	8.8

In the prior year software development costs were reclassified as tangible fixed assets in accordance with FRS10 "Goodwill and Intangible Assets".

10 TANGIBLE ASSETS

	Land & Buildings	Plant & Equipment	Assets Under Construction	Total
	£m	£m	£m	£m
COST OR VALUATION				
Balance at 1 January 2001	731.9	1,417.1	73.9	2,222.9
Additions	10.1	61.3	34.6	106.0
Disposals	(9.6)	(36.6)	(0.6)	(46.8)
BALANCE AT 31 DECEMBER 2001	732.4	1,441.8	107.9	2,282.1
DEPRECIATION				
Balance at 1 January 2001	144.6	743.2	0.0	887.8
Charge for year	12.1	54.5	0.0	66.6
Impairment	1.5	8.8	0.0	10.3
Disposals	(4.9)	(14.9)	0.0	(19.8)
BALANCE AT 31 DECEMBER 2001	153.3	791.6	0.0	944.9
NET BOOK VALUE AT 31 DECEMBER 2001	579.1	650.2	107.9	1,337.2
NET BOOK VALUE AT 31 DECEMBER 2000	587.3	673.9	73.9	1,335.1

As at 31 December 1999 certain assets with a historical cost of £165 million were revalued by a member of the Royal Institute of Chartered Surveyors employed by Esso Petroleum Company, Limited and the assets were revalued down by £45 million to a total open market value, for existing use, of £351 million.

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001 (continued)

10 TANGIBLE ASSETS (continued)

Included in the tangible assets are assets with a net book value of £Nil (2000: £7.6 million) held under finance leases, and £Nil (2000: £21.6 million) of assets subject to an option agreement which allows the lessor to purchase them for a nominal amount should there be any interruption in loan payments.

The net book value of land and buildings comprises:

	2001	2000
	£m	£m
Freehold	534.1	537.1
Long leasehold	24.0	27.1
Short leasehold	21.0	23.1
TOTAL	579.1	587.3

11 INVESTMENTS

	2001	2000
	£m	£m
SHARES IN SUBSIDIARY UNDERTAKINGS AND INVESTMENTS		
Balance at 1 January 2001	26.1	26.1
Disposal	(2.9)	0.0
BALANCE AT 31 DECEMBER 2001	23.2	26.1

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2001 are given below:

NAME OF COMPANY	Class of Shares	Proportion of Shares & Voting Rights
SUBSIDIARY UNDERTAKINGS		
Cleveland Petroleum Company Limited	Ordinary	100%
Comma Oil & Chemicals Limited	Ordinary	100%
Esso Marine U.K. Limited	Ordinary	100%
Esso Pension Trust Limited	Ordinary	100%
Mainline Pipelines Limited	Ordinary	65%
Mode Wheel Property Limited	Ordinary	100%
Redline Oil Services Limited	Ordinary	100%
Retail Petroleum Services Limited	Ordinary	100%
ASSOCIATED UNDERTAKINGS		
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%
Heathrow Refuelling Service Company Limited	Ordinary	35%

All the companies operate in the United Kingdom, are registered in England and Wales and have principal activities related to the oil and gas business, except Cleveland Petroleum Company Limited which was dormant during the year.

The Company's interests in the associated undertakings have been accounted for as investments as the Company does not exercise significant influence over its operations.

NOTES TO THE ACCOUNTS
for the year ended 31 December 2001 (continued)

12 STOCKS	2001	2000
	£m	£m
Raw materials and consumables	56.7	72.4
Work in progress	45.2	67.6
Finished goods and goods for resale	222.0	244.7
TOTAL	323.9	384.7

The replacement cost of all categories of stocks held by the Company at 31 December 2001 was £313.3million (2000: £382.7 million).

13 DEBTORS	2001	2000
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Trade debtors	379.8	453.4
Amounts owed by other ExxonMobil group undertakings	250.7	514.2
Amounts owed by subsidiary undertakings	8.7	9.9
Other debtors	16.8	14.7
Prepayments and accrued income	37.2	30.2
TOTAL	693.2	1,022.4
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	25.9	22.9
Prepayments and accrued income	97.4	104.8
TOTAL	123.3	127.7

14 CREDITORS	2001	2000
	£m	£m
AMOUNTS FALLING DUE WITHIN ONE YEAR		
Bank loans and overdrafts	4.6	0.3
Trade creditors	155.7	152.9
Amounts owed to other ExxonMobil group undertakings	653.8	786.5
Amounts owed to subsidiary undertakings	38.6	25.4
Taxation and social security	236.8	381.2
Other creditors	6.2	0.5
Accruals and deferred income	73.2	70.9
TOTAL	1,168.9	1,417.7
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Long and medium term loans (see note 15)	700.0	700.0
Accruals and deferred income	39.9	43.5
TOTAL	739.9	743.5

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001 (continued)

15 LONG AND MEDIUM TERM LOANS

	2001	2000
	£m	£m
Amounts owed to other ExxonMobil group undertakings		
Repayable over 5 years	700.0	700.0
TOTAL	700.0	700.0

Amounts owed to other ExxonMobil group undertakings are repayable other than by installments and comprise two loans. One for £300m that bears interest at a rate of 3 month LIBOR + 0.0625% (2000: LIBOR + 0.0625%). One for £400m that bears interest at a rate of LIBOR + 0.125% (2000: LIBOR + 0.125%).

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred tax	Other	Total
	£m	£m	£m
Balance at 1 January 2001	0.0	7.3	7.3
Increase in provision - charged to P&L account	0.0	1.5	1.5
Decrease in provision - reversed	0.0	(1.2)	(1.2)
BALANCE AT 31 DECEMBER 2001	0.0	7.6	7.6

The deferred taxation balance results entirely from capital allowances in excess of depreciation.

The potential amount of deferred taxation payable for all timing differences was as follows:

	2001	2000
	£m	£m
Capital allowances in excess of depreciation	158.5	166.0
Other timing differences	12.9	15.7
TOTAL	171.4	181.7

Unprovided deferred tax included above

	2001	2000
	£m	£m
Capital allowances in excess of depreciation	158.5	166.0
Other timing differences	12.9	15.7
TOTAL	171.4	181.7

There is no intention to sell the revalued assets, and consequently the revaluation of those assets does not constitute a timing difference and therefore the potential amount of deferred tax on the revalued assets has not been quantified.

Other provisions primarily relate to the cost of closure and remediation of sites closed prior to 31 December 2001. A provision of £7.6m (2000: £7.3m) has been recognised in relation to these costs, which are expected to be incurred by within the next 5 years.

NOTES TO THE ACCOUNTS
for the year ended 31 December 2001 (continued)

17 CALLED UP SHARE CAPITAL AT 1 JANUARY 2001 AND 31 DECEMBER 2001

Ordinary shares of £1 each	Number
- authorised	229,000,000
- allotted and fully paid	228,385,200

18 RESERVES

	2001 £m	2000 £m
PROFIT AND LOSS ACCOUNT		
Balance at 1 January 2001	355.9	314.5
Amounts transferred (from)/to reserves	(174.1)	41.4
BALANCE AT 31 DECEMBER 2001	181.8	355.9

	2001 £m	2000 £m
REVALUATION RESERVE		
BALANCE AT 1 JANUARY AND 31 DECEMBER	186.0	186.0

	2001 £m	2000 £m
CAPITAL RESERVE		
BALANCE AT 1 JANUARY AND 31 DECEMBER	3.3	3.3

19 RECONCILIATION OF MOVEMENT IN SHAREHOLDER'S FUNDS

	2001 £m	2000 £m
(Loss)/Profit for the year	(174.1)	41.4
Net (deductions)/addition to shareholder's funds	(174.1)	41.4
Opening shareholder's funds	773.6	732.2
CLOSING SHAREHOLDER'S FUNDS	599.5	773.6

20 CAPITAL COMMITMENTS

	2001 £m	2000 £m
Estimated commitments under contracts for capital expenditure not provided for in these accounts amounted to	17.8	37.7
TOTAL	17.8	37.7

NOTES TO THE ACCOUNTS
for the year ended 31 December 2001 (continued)

21 COMMITMENTS UNDER OPERATING LEASES	2001	2000
At 31 December the Company had annual commitments	Land &	Land &
under operating leases expiring as follows:	Buildings	Buildings
	£m	£m
- within one year	0.8	0.1
- in one to five years	0.9	0.7
- after five years	13.7	4.7
TOTAL	15.4	5.5

22 CONTINGENT LIABILITIES	2001	2000
	£m	£m
Guarantees	4.7	2.7

The Company has given guarantees in respect of the house sale guarantee scheme for relocating employees. This involves guaranteeing the sale of the property at market value for employees who are relocating.

23 PENSIONS

The pension scheme is a funded defined benefit scheme. At 1 January 2001, the market value of the assets of the fund was £1,119.6 million (2000: £1,232 million). At the date of the last actuarial valuation the assets were sufficient to cover 114% of the benefits that had accrued to members, after allowing for future increases in salaries.

The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 1999 on plan assets and liabilities as at 31 December 1998. Assets were valued using the Market Value based approach and liabilities were valued using the Projected Unit method. The valuation assumed that the investment returns would be 2.5% higher than salary growth. Allowance was made for Limited Price Indexing pension increases of 2.5%.

Pension costs for 2001 were £29.1 million (2000: £16.8 million). A prepayment of £51.4 million (2000: £53.8 million) in respect of pension costs is included in debtors. Employer contributions to the fund were £26.2 million.

NOTES TO THE ACCOUNTS for the year ended 31 December 2001 (continued)

23 PENSIONS (continued)

ADDITIONAL DISCLOSURES FOR FRS17

The pension scheme is a funded defined benefit scheme in the UK. The actuaries are independent of the Company and the last full actuarial valuation was carried out in 1999 on plan assets and liabilities as at 31 December 1998.

Employer contributions to the Fund were £26.2 million. The valuation of the assets was updated to 31 December 2001 using an audited market valuation as at 31 December 2001. Liabilities are estimated using the Project Unit method as advised by the actuaries.

The major assumptions used were:

	2001
Rate of increase in salaries	4.00%
Rate of increase in pensions in payment (pre April 97)	1.50%
Rate of increase in pensions in payment (post April 97)	2.50%
Discount rate	6.25%
Inflation assumption	2.50%

The assets in the scheme and the expected rates of return were:

	Expected long term rate of return at 31 December 2001	Value at 31 December 2001
		£m
Equities	7.25%	1,087.3
Bonds	4.50%	342.9
Other	0.00%	4.4

	£m
Total market value of assets	1,434.6
Present value of scheme liabilities	1,512.5
Net Pension liability	(77.9)

Net Assets	2001
	£m
Net assets excluding pension asset	548.1
Pension liability	(77.9)
Net assets including pension liability	470.2

Reserves	2001
	£m
Profit and loss reserve excluding pension asset	130.4
Pension liability	(77.9)
Profit and loss reserve including pension liability	52.5

NOTES TO THE ACCOUNTS

for the year ended 31 December 2001 (continued)

24 RELATED PARTY BALANCES

Esso Petroleum Company, Limited is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3 (c) of FRS 8 Related Party Disclosures not to disclose any transactions with any entities that are part of that group. The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25.

The Company has lease deposits outstanding from third parties on behalf of certain directors. Details of these transactions are disclosed in the financial statements of the Company's immediate holding company, Esso UK Limited (formerly Esso UK Plc).

25 ULTIMATE HOLDING COMPANY

The immediate holding company is Esso UK Limited (formerly Esso UK Plc). The ultimate holding company is Exxon Mobil Corporation, incorporated in New Jersey, USA. Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed. The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited (formerly Esso UK Plc). Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX. The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation. Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA.